

Quarterly Report for Deer Velvet in Korea – Deer Industry New Zealand

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Latitude Inc.

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Innovative Business Support & Promotion

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1 Quarantine statistics of deer velvet from major export countries

These may include hand-carried velvet by tourists. The countries are not countries of origin but export.

Source: National Veterinary Research & Quarantine Service (한국수의과학검역원)¹.

1.1 Dried velvet

Dried velvet (kg)								
Country	2015	2016	2017	2018	2019	2020	2021	2022 (~Mar)
New Zealand	15,803	33,554	61,815	78,409.8	44,534.6	37,810.6	26,070.2	9,922.6
China	60,794	68,902	61,972	74,116.5	69,716.2	77,989.8	70,932.1	11,229.1
Russia	44,523	34,275	50,989	42,131.6	46,449.6	54,042.4	55,986.4	2,011.0
Hong Kong	14,500	23,115	11,293	15,402.4	17,827.5	13,700.7	22,372.1	15,623.1
Singapore	0	1	0	0	500.3	0	0	0
Kazakhstan	2,035	1,390	1,081	1,270.2	701.0	2,354.0	1,428.0	0
Australia	25	19	41	72.9	31.9	26.6	44.9	7.1
USA	11	12	6	3.0	11.5	5.7	4.9	1.0
Others	7	4	1.5	3.9	9.1	1.6	3.6	0
Total	137,699	161,272	187,199	211,410.2	179,781.7	185,931.4	176,843.0	38,793.9

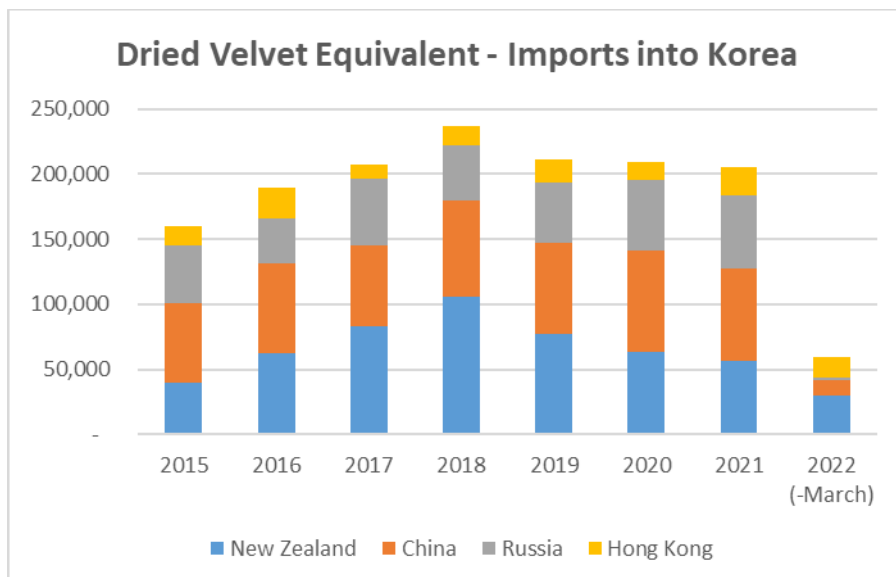
1.2 Frozen velvet

Frozen velvet (kg)								
Country	2015	2016	2017	2018	2019	2020	2021	2022 (~Mar)
New Zealand	74,025	88,922	64,808.6	81,365.0	99,113.0	77,477.4	91,874.1	62,068.1
China	7.8	21.6	67.7	6.0	10.2	0	1.6	0
Russia	0	3.2	0	3.2	0	0	0	0
Australia	31.1	33.0	19.6	0	0	0	0.5	0
USA	1.3	4.0	0.2	0	0	0	0.5	0.8
Thailand	0	0	0	0	1.0	0	0	0
Others	1.8	0.7	3.8	5.3	0	0	0	0.8
Total	74,067	88,985	64,900	81,379.5	99,124.2	77,477.4	91,876.7	62,069.6

¹ <http://eminwon.qia.go.kr/statistics/> (품목-국가별 수출입현황)

1.3 Combined frozen and dried import equivalents

The following graph has been included to give an indication of overall trends in terms of market share. Need to note again that product registered as 'Chinese' will include New Zealand velvet processed in China.



* Dried equivalent: Calculated from frozen at ratio of 33 per cent.

1.4 Rolling year

Dried velvet (kg)			Frozen velvet (kg)		
Country	Apr 2020 - Mar 2021	Apr 2021 - Mar 2022	Country	Apr 2020 - Mar 2021	Apr 2021 - Mar 2022
New Zealand	35,749.8	26,375.9	New Zealand	76,499.4	123,867.2
China	80,023.9	66,301.0	China	0	1.6
Russia	54,475.2	54,357.4	Russia	0	0
Hong Kong	12,644.5	34,795.2	Hong Kong	0	0
Kazakhstan	1,687.0	1,428.0	Kazakhstan	0	0
Australia	33.5	41.0	Australia	0.3	0.9
USA	5.2	5.0	USA	0	1.3
Singapore	0	0			
Others	0.5	3.4	Others	0	0
Total	184,619.6	183,306.9	Total	76,499.7	123,871.0

1.5 Quarantine failure

The following statistics from the NVRQS give an indication of product that has been rejected on import. While 'banned origin' shows only a small volume it is likely that the 'No COQ' would also reflect product that did not have the appropriate documents from the country of export.

Source: National Veterinary Research & Quarantine Service (한국수의과학검역원)².

COQ = Certificate of Quarantine (Phytosanitary Certification)

Sanitary = Sanitary condition violation

1.5.1 Fail - dried velvet

Dried velvet (kg)									
Country	2020			2021			2022 (~Mar)		
	No COQ	Banned origin	Drying defect	No COQ	Banned origin	Drying defect	No COQ	Banned origin	Drying defect
New Zealand	0	0	0	0.2	0	0.6	0	0	0
China	0	3.0	0	0	1.4	0	0	0	0
USA	0	5.7	0	0	4.1	0	0	1.0	0
Canada	0	1.0	0	0	2.8	0	0	0	0
Japan	0	0.4	0	0	0	0	0	0	0
Russia	0	0	0	0	0.2	0	0	0	0
Others	0	0	0	0	0	0	0	0	0
Total	10.1			9.2			1.0		

1.5.2 Fail - frozen velvet

Frozen velvet (kg)						
Country	2020		2021		2022 (~Mar)	
	No COQ	Banned origin	No COQ	Banned origin	No COQ	Banned origin
New Zealand	0	0	0	0	0	0
China	0	0	0	1.6	0	0
USA	0	0	0	0.5	0	0.8
Canada	0	0	0	0	0	0
Australia	0	0	0	0	0	0
Russia	0	0	0	0	0	0
others	0	0	0	0	0	0
Total	0		2.1		0.8	

² <http://eminwon.qia.go.kr/statistics> (품목-국가별 불합격수입현황)

2 Company list for velvet imported as a food

The following statistics from the National Food Safety Information website provides data about food importers and products they imported.

Source: National Food Safety Information website (식품안전나라).³

2.1 Importer status

Annual imports of deer velvet by type and importer.

Year: 2022 (~March)		
Number of Imports	New Zealand	
	New Zealand	Total
Dried deer velvet	3	3
KGC	1	1
MyungGa (Mr. Lee in Daegu)	1	1
Bibong Herb	1	1
Fresh deer velvet	10	10
KNC Deertrade	4	4
MyungGa (Mr. Lee in Daegu)	3	3
YW International	1	1
Bio Dot	2	2
Total	13	13

2.2 Exporter status

Number of shipments by exporter based on government statistics as per below.

Year: 2022 (~March)				
Month	1 2 3 Total			
	1	2	3	Total
New Zealand	9	2	2	13
Dried deer velvet	2	1	3	
PGG WRIGHTSON LTD-VELVET		1	1	
PROVELCO CO OPERATIVE LTD		2	2	
Fresh deer velvet	9	1	10	
CK IMPORT EXPORT CO.(NZ) LTD	3		3	
PAREX INTERNATIONAL LTD		1	1	
PROVELCO CO OPERATIVE LTD	5		5	
ROKLAND CORPORATION LIMITED	1		1	
Total	9	2	2	13

* Full list is separately provided in Excel file format.

³ http://www.foodsafetykorea.go.kr/portal/safefoodlife/foodimport/importFoodList.do?menu_grp=MENU_NEW04&menu_no=2818

3 Korean news

3.1 Korea Deer Breeders Association

On the 21st of February, Korea Deer Breeders Association held a general meeting and re-elected Mr Dae Hwan Jeong as the 22nd chairman. His tenure is for 3 years. The number of KDBA members is around 350.

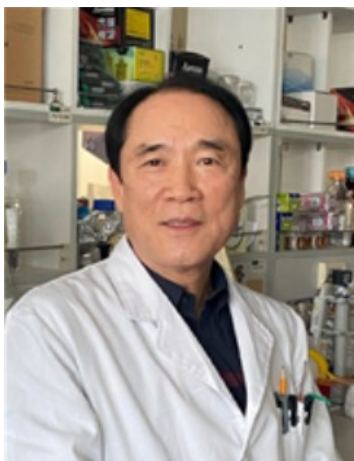


Nongsoochuksan News, 2022-02-22⁴

3.2 New year's address by chairman Byung-Tae Chun of the Korea Deer Velvet Society

80% of the consumption of deer velvet in Korea is imported. Deer velvet production in Korea has decreased by about 60% compared to 10 years ago as Korea's deer velvet is not price competitive.

Recently, research on the differentiation of domestic deer velvet and research on the standardization of deer velvet-derived functional indicators are being actively conducted. These results will serve as a stepping stone for overcoming price competitiveness. The Korea Deer Velvet Society will make ceaseless efforts and active cooperation for this purpose.



Food Today, 2022-01-04⁵

⁴ <http://www.aflnews.co.kr/news/articleView.html?idxno=222450>

⁵ <http://www.foodtoday.or.kr/news/article.html?no=169111>

3.3 Hanpure, expansion of import and supply of New Zealand deer velvet

Hanpure, Korea Deer Velvet Import & Export, announced on the 4th of April that it would expand the import and supply of New Zealand deer velvet for smooth distribution in the domestic velvet market. Hanpure is the largest deer velvet import and export company in Korea.

Due to the problem of Russia's global supply chain, the proportion of purchasing New Zealand deer velvet is significantly increasing.

New Zealand deer velvet is collected in the presence of a veterinarian in accordance with the regulations of National Velvet Standards Body (NVSB), New Zealand deer velvet production management agency.



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첨정지역의 건강하고 안전한 녹용만을
공급해 나갈 것을 약속드립니다.

News1, 2022-04-04⁶

⁶<https://www.news1.kr/articles/?4634689>

4 News related with product

4.1 Herbs and deer velvet extract product 'ChamJinHan Nogyeong Hongsam Jeong' by 'Pulmuone Orga Whole Food'

- Packaging and price: KRW100,000 for 1 box (10grams x 60 sticks)
- Major ingredients: Red ginseng, mushroom, and deer velvet from New Zealand



MNB, 2022-02-23⁷

Pulmuone shop⁸

4.2 Herbs and deer velvet extract product for children 'TeunTeunSsukSsuk Nogyeong Hongsam Stick' by 'Chunhoncare'

- Packaging and price: KRW24,100 for 1 box (20grams x 15 sticks)
- Major ingredients: Red ginseng, gold kiwifruit concentrate, and deer velvet from New Zealand



Law Issue, 2022-01-12⁹

⁷<https://mnbn.moneynews.co.kr/mnbnview.php?no=2022022214198013137&ref=https%3A%2F%2Fsearch.naver.com>

⁸<https://shop.pulmuone.co.kr/shop/goodsView?goods=32285>

⁹https://ccnews.lawissue.co.kr/view.php?ud=202201121455345015204ead0791_12

4.3 Herbs and deer velvet extract product 'Goryo Nogyeong Hongsam' by 'JeongSamWon'

- Packaging and price: KRW105,900 for 1 box (50ml x 30 pouches)
- Major ingredients: Herbs, red ginseng, and deer velvet from Korea



Data News, 2022-01-08¹⁰
Naver Smart Store¹¹

4.4 Herbs and deer velvet extract ball-type product 'Nogyong Bullo Dan' by 'Geochang Food'

- Packaging and price: KRW320,000 for 1 box (5grams x 30 balls)
- Major ingredients: Herbs, and deer velvet from Russia



Naver Smart store¹²

¹⁰<https://www.datanews.co.kr/news/article.html?no=118443>

¹¹<https://smartstore.naver.com/raidcorp/products/6153430281?NaPm=ct%3DI1n6eyi8%7Cci%3Dae82f523a81e482575386dc7da68c5c4a854bc3e%7Ctr%3Dsls%7Csn%3D3504299%7Chk%3D6073339bae415183b3b386e3d75f05b575de3bd5>

¹²<https://smartstore.naver.com/gcfood/products/5600718097?NaPm=ct%3DI1n8bkew%7Cci%3D29bb2d025a63bdc4e256892d91728d7ec18ad475%7Ctr%3Dsls%7Csn%3D331083%7Chk%3Dca91de618579f801bd5fbed37cae9d39fc1ac59>

4.5 Aloeswood and deer velvet extract ball-type product 'Iksu Noghyang 4.2' by 'Iksu Health'

- Packaging and price: 1 box (4.2gram x 30 balls) - price not open
- Major ingredients: Aloeswood from Indonesia, and deer velvet from Russia



i-Kunkang News, 2022-04-04¹³
Iksu Health website¹⁴

4.6 Aloeswood and deer velvet extract ball-type product 'Kwangdong ChimHyang Hwan' by 'Kwangdong'

- Packaging and price: KRW150,000 for 1 box (3.75gram x 30 balls)
- Major ingredients: Aloeswood from Indonesia, and deer velvet from New Zealand

* Kwangdong sold KRW50 billion (approx. NZ\$60 million) worth of this product for the past three years.



Agri Economic News, 2022-03-17¹⁵

¹³<http://www.ikunkang.com/news/articleView.html?idxno=35630>

¹⁴<http://iksuhealth.com/?NaPm=ct%3Dl1n8tof4%7Cci%3D0AG0003adOPwWIEWXLIN%7Ctr%3Dsa%7Chk%3D7c844cc5b70409eb18a050c175dd6636259b4a51>

¹⁵<http://www.thekpm.com/news/articleView.html?idxno=112416>